

Notice how the second top in this triple top is below the other two but the head-and-shoulders top has a head above the adjacent peaks.

Identification Guidelines

[Table 68.1](#) outlines identification guidelines for triple tops.

To see another example of what a triple top looks like, study [Figure 68.2](#). The three tops are pointed, well separated, and distinct in this example. The three minor highs are obvious, and that is important in any chart pattern. If other investors do not recognize a chart pattern for what it is, they will not try to take advantage of it. If they do not buy or sell appropriately, the pattern will fail. Chart patterns are a self-fulfilling prophecy that depend on the crowd behaving the same way.

All three peaks top out at about the same price with the center peak a bit recessed from the other two. This feature is common as quite a number (25%) of triple tops have a lower center peak.